

HDFC Bank Ltd

HDFCBANK | Unknown

329,022.0

Revenue (■ Cr)

72,168.0

Net Profit (■ Cr)

14.3%

ROE

61.4%

OPM

6.8

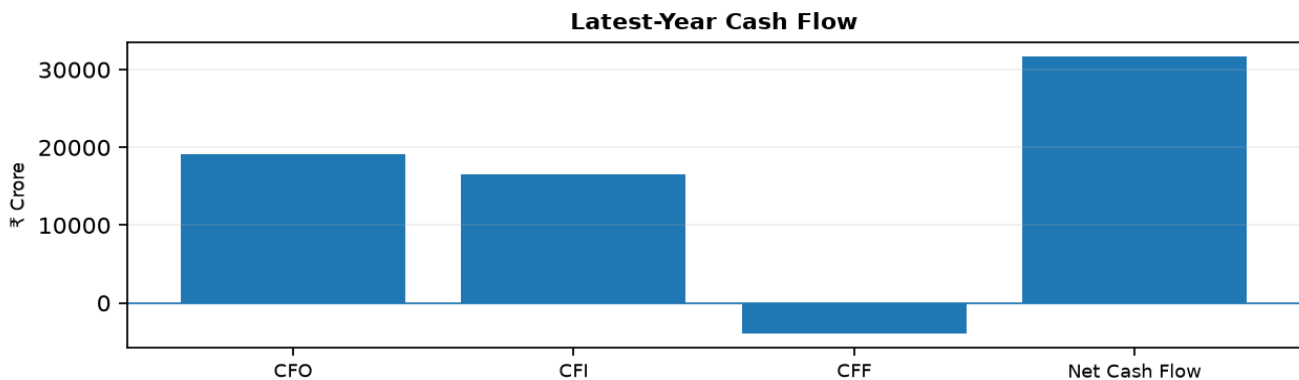
Debt / Equity

35,669.0

Free Cash Flow (■ Cr)

Financial Performance

Balance Sheet & Cash Flow Intelligence



CAPITAL ALLOCATION: Accrual Risk

PROS

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

CONS

- Debt-to-equity ratio of 6.81 is elevated for a non-financial company and warrants monitoring
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations